

LEGEND™ LEGACY PROTECTION

Life Insurance & Final Expense — Comprehensive Coverage Guide

Life insurance is designed to provide a death benefit to beneficiaries when the insured dies while the policy is in force. Final expense insurance is typically a smaller life insurance policy intended to help cover funeral and end-of-life costs—so your family isn't forced into a financial crisis at the worst possible time.

What Life Insurance Can Help Protect

- Income replacement — Helps replace lost earnings so a spouse/children can keep life stable.
- Debt payoff — Mortgage, loans, and other obligations that could become your family's burden.
- Final expenses — Funeral, burial/cremation, and end-of-life costs.
- Legacy planning — Leaving financial support intentionally instead of leaving liabilities.

Major Types of Life Insurance (And What They're Built For)

Term Life Insurance

- Designed for: temporary protection for a set period (commonly 10, 20, or 30 years).
- Core benefit: typically the most cost-efficient way to buy a larger death benefit for the years it's needed most.
- Common strategic use: income protection while raising kids, protecting a mortgage, covering business loans, and "high-need / time-limited" goals.
- Key tradeoff: coverage can end at the term's expiration if not renewed/converted; renewal premiums may increase with age.

Whole Life Insurance

- Designed for: lifelong coverage with a level premium schedule (as long as premiums are paid).
- Core benefit: policy guarantees are defined in the contract (e.g., premium schedule and death benefit structure), and the policy may build cash value over time.
- Common strategic use: permanent protection for final expenses, legacy, long-term family obligations, and people who value predictability and disciplined structure.
- Key tradeoff: typically higher premiums than term for the same death benefit.

Universal Life Insurance (UL)

- Designed for: long-term coverage with flexibility in premiums and death benefit options (subject to contract minimums and charges).
- Core benefit: flexibility — you can often adjust premiums and, in some policies, adjust the death benefit (contract-specific).
- Common strategic use: long-term coverage when flexibility matters (cashflow variability, business owners, evolving needs).
- Key tradeoff: policy performance depends on credited interest, charges, and funding levels; underfunding can increase lapse risk.

Guaranteed Universal Life (GUL) / No-Lapse UL

- Designed for: long-term or lifetime death benefit guarantees when premium schedules are met (contract-specific).
- Core benefit: strong death benefit focus (often with less emphasis on cash value).
- Common strategic use: permanent death benefit need with premium efficiency vs traditional whole life (client priorities vary).
- Key tradeoff: less cash value emphasis; missing premium requirements may jeopardize guarantees (policy-specific).

Indexed Universal Life (IUL)

- Designed for: permanent life insurance where interest credits may be linked to an external index, subject to the policy's crediting method.
- Core benefit: potential for interest credits tied to an index measurement, often with limits such as caps, participation rates, or spreads (contract-specific).
- Common strategic use: long-term coverage where the client wants permanent protection and is comfortable with crediting-method mechanics and policy charges.
- Key tradeoff: the index link does not mean direct stock market investing; credits are limited by the contract and are not guaranteed. Policy charges still apply and can affect cash value.

Variable Life / Variable Universal Life (VUL)

- Designed for: life insurance where cash value is invested in investment options (often called subaccounts) and can fluctuate with market performance.
- Core benefit: investment flexibility inside the policy; potential for higher cash value growth if investments perform well (not guaranteed).
- Common strategic use: clients who understand market risk, product complexity, and fees—and want a long-term strategy with investment exposure inside the policy.
- Key tradeoff: market risk (including possible loss of principal), higher complexity and cost structures; these are securities products and involve additional regulation and disclosure.

Final Expense (Burial) Insurance

- Designed for: smaller face amounts focused on funeral and end-of-life expenses.
- Core benefit: simple purpose—reduce immediate burden on family; underwriting can be simplified depending on product.
- Common strategic use: seniors or families who want a dedicated plan for end-of-life costs and a clean, predictable outcome.
- Key tradeoff: premiums per dollar of coverage can be higher than fully underwritten coverage; product terms vary widely.

Group Life (Employer-Provided)

- Designed for: workplace coverage that may be partially or fully paid by an employer.
- Core benefit: convenience and often simplified underwriting for base coverage.
- Common strategic use: foundational coverage—then supplement privately if coverage is not enough or not portable.
- Key tradeoff: coverage may end when employment ends unless converted/portable (rules vary).

Survivorship (Second-to-Die) Life Insurance

- Designed for: coverage that generally pays after the second insured dies (commonly used for estate/legacy planning).
- Core benefit: can align with legacy goals tied to timing at the second death (strategy depends on laws and planning).
- Common strategic use: advanced legacy/estate strategies coordinated with attorneys/CPAs.
- Key tradeoff: specialized use case; requires coordinated planning and careful underwriting.

Key Design Components (What Matters More Than the Product Name)

- Purpose: income replacement, debt protection, final expenses, legacy, business planning, or permanent obligations.
- Coverage amount: based on real obligations and the people impacted.
- Duration of need: temporary (term) vs long-term/permanent (whole/UL/IUL/VUL/final expense).
- Underwriting path: fully underwritten vs simplified issue vs guaranteed issue (availability varies).
- Beneficiaries and ownership: keep beneficiary designations aligned with intent, especially after major life events.
- Cash value mechanics (if applicable): understand loans/withdrawals, charges, and how funding levels impact the policy's performance.

When It Often Fits vs. When It Usually Does NOT Fit

Often Fits	Usually Does NOT Fit
• You have people who would be financially impacted if you died • You have debt, dependents, or a legacy goal you want handled intentionally • You want clarity and structure—before a crisis happens	• You're not willing/able to keep premiums consistent (lapse risk is real) • You're treating life insurance like a short-term savings account • You're choosing a policy type without understanding charges, guarantees, and tradeoffs

Education Checklist (Before You Apply)

- Who depends on your income today—and for how long?
- What debts or expenses would your family inherit tomorrow?
- Do you need temporary protection (term) or permanent coverage (whole/UL/IUL/VUL/final expense)?
- Is employer group life enough—and will it follow you if you change jobs?
- If cash value is involved, do you understand how charges, crediting, and funding levels affect long-term performance?
- Are beneficiaries correct, and have you reviewed them after marriage, divorce, births, or business changes?

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Protect your health. Protect your wealth. Protect your family. Protect your legacy.